

Shriram Finance Ltd (SHRIRAMFIN)

Financials | Consumer Finance

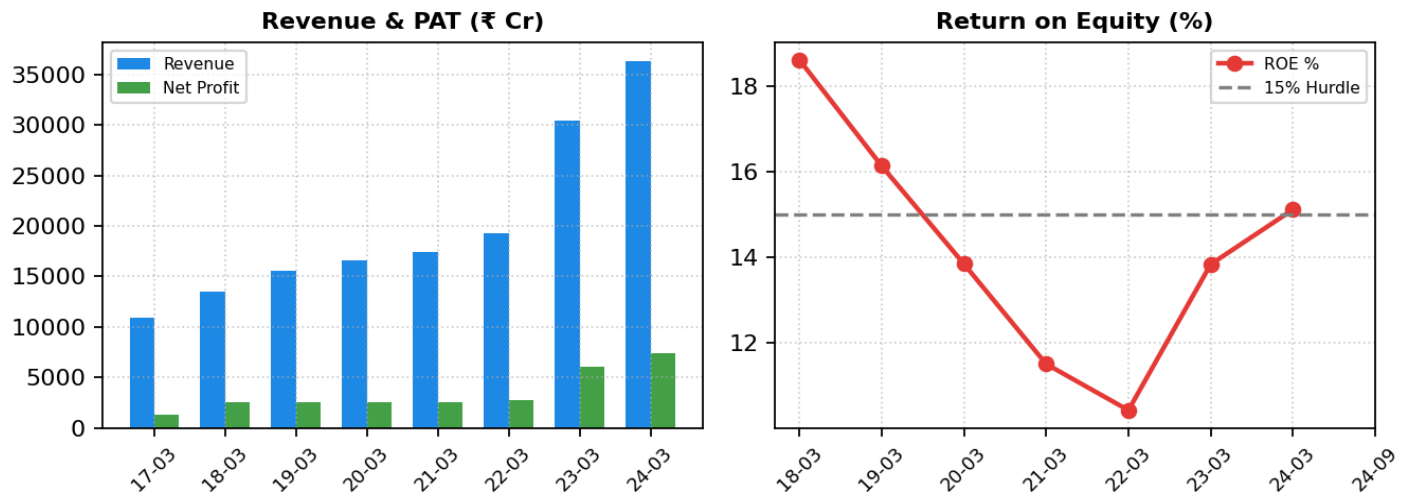
Health Score:
42.1/100

Nifty 100 Fundamental Intelligence

Business Profile: Business Overview Shriram Transport Finance Company Ltd is a part of the SHRIRAM Group conglomerate which has a significant presence in the financing business. STFC is engaged in t

Market Cap: ■868,933 Cr	P/E Ratio: 68.5x
Return on Equity: 15.1%	Debt / Equity: 3.99x
Free Cash Flow: ■-31,359 Cr	5Y Rev CAGR: 18.6%

Historical Performance & Return Ratios

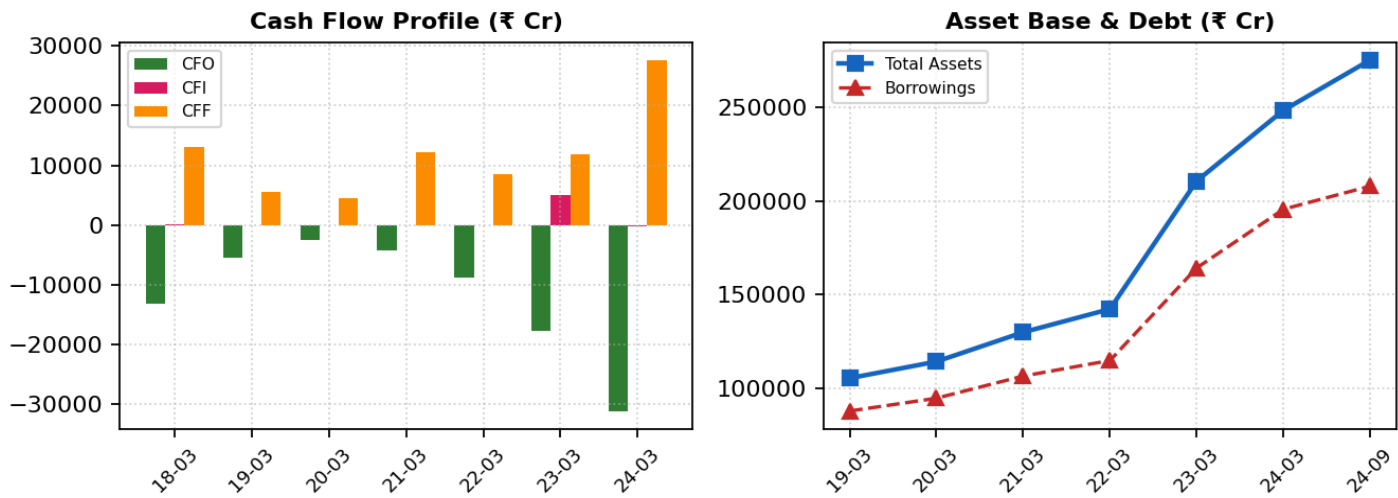


Metric	21-03	22-03	23-03	24-03
Revenue (■ Cr)	17,422	19,255	30,492	36,388
Operating Profit (■ Cr)	3,402	3,666	8,799	10,523
Net Profit (■ Cr)	2,499	2,721	6,020	7,399
EPS (■)	18.0	20.0	32.0	39.0

Financial Quality & Risk Intelligence — SHRIRAMFIN

Capital Allocation Pattern: Distress / External Funding | CFO-to-PAT Quality: -4.20x

Cash Flow Dynamics & Solvency



Investment Strengths (Pros)

- **Strengths:** Consistent Return on Equity at 15.1%.
- **Strengths:** Impressive 5-year revenue compounding at 18.6% CAGR.
- **Strengths:** Strong bottom-line expansion with 5-year PAT CAGR of 23.5%.
- **Strengths:** Healthy operating margin of 28.9% reflects pricing power and moat.

Key Risks & Considerations (Cons)

- **Risk Factor:** Negative free cash flow of ₹31,359 Cr due to heavy CapEx or working capital drag.
- **Risk Factor:** Premium equity valuation multiple with P/E of 68.5x.
- **Risk Factor:** Low cash conversion from net profit (CFO/PAT -4.20x) flags accrual risk.
- **Risk Factor:** Tight debt servicing capacity with interest coverage of 0.68x.